

COMPOSED BY SADIA ALI SADI (MBA)

FINAL TERM EXAMINATION

Spring 2010

MGT301- Principles of Marketing (Session)

Paper#4

Question No: 1 (Marks: 1) - Please choose one

Which one the following option is related with this statement “Rapid imitation of leader or challenger with moderate country market coverage and emphasis on price sensitive markets. The result is overall moderate share with high shares in selected country markets.”

- ▶ Global leader strategy
- ▶ Global challenger strategy
- ▶ **Global follower strategy** Page#211
- ▶ Global niche strategy

Question No: 2 (Marks: 1) - Please choose one

If a local company wants to adopt the marketing concept. To be consistent with this move, it should adopt which of the following philosophies?

- ▶ Focusing on today is important for us
- ▶ Making money is our business
- ▶ **The customer is always right**
- ▶ Keeping prices low is our objective

Question No: 3 (Marks: 1) - Please choose one

Which form of data can usually be obtained more quickly and at a lower cost?

- ▶ Primary
- ▶ Census
- ▶ **Secondary**
- ▶ Tertiary

Question No: 4 (Marks: 1) - Please choose one

If ABC Ltd knows that its market share in Pakistan has dropped 13 percent in the first quarter of the year but does not know what might have contributed to this decline, it is in which stage of the marketing research process?

- ▶ Hypothesis development
- ▶ Symptom identification
- ▶ **Problem identification**
- ▶ Data interpretation

Question No: 5 (Marks: 1) - Please choose one

Mr. Salman works for an organization in which his purchases must be accountable to the public. His buying procedures are extremely complex. Based on this description, he works for an organization in which market type?

- ▶ Reseller
- ▶ Producer
- ▶ Supplier
- ▶ **Government**

Question No: 6 (Marks: 1) - Please choose one

A transaction in which the organization is making an initial purchase of an item to be used to perform a new job refers to which of the following purchases?

- ▶ Straight rebuy purchase
- ▶ **Delayed purchase**

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- ▶ New-task purchase
- ▶ Modified rebuy purchase

Question No: 7 (Marks: 1) - Please choose one

Customer service is another element of product strategy. The first step is to survey customers periodically to assess the value of current services and to obtain ideas for new ones. From this careful monitoring, marketer has learned that buyers are very upset by repairs that are not done correctly the first time. What is the name of these types of services?

- ▶ Brand equity services
- ▶ **Product support services**
- ▶ Social marketing services
- ▶ Unsought product services

Question No: 8 (Marks: 1) - Please choose one

A review of the sales, costs and profit projections for a new product to find out whether they satisfy the company's objectives refers to which one of the following concepts?

- ▶ Business feasibility
- ▶ Feasibility study
- ▶ **Business analysis**
- ▶ Product acceptance

Question No: 9 (Marks: 1) - Please choose one

If ABC Company develops a new air conditioning compressor that lasts twice as long as existing compressors but only uses half the electricity, it will probably establish its pricing based on:

- ▶ Cash flow
- ▶ **Product quality**
- ▶ Return on investment.
- ▶ Market share

Question No: 10 (Marks: 1) - Please choose one

Which one of the following is the requirement for setting pricing objectives?

- ▶ The objectives should be short-term oriented
- ▶ There should be only one pricing objective
- ▶ The cost structure should be identified
- ▶ **The objectives should be explicitly stated**

Question No: 11 (Marks: 1) - Please choose one

Companies set prices by selecting a general pricing approach that includes one or more of three sets of factors. One of these is the buyer-based approach, which means:

- ▶ **Value-based pricing**
- ▶ Sealed-bid pricing
- ▶ Cost-plus pricing
- ▶ Low-price image

Question No: 12 (Marks: 1) - Please choose one

When management at Yamaha Motorcycles makes decisions on saddlebags, handle bars, and seats for its bikes, they become engaged in which one of the following pricing?

- ▶ Product line pricing
- ▶ **Optional-product pricing**
- ▶ Captive-product pricing
- ▶ Value-based pricing

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http://wps.pearsoned.co.uk/ema_uk_he_harker_mktgintro_1/127/32608/8347893.cw/content/index.html

Question No: 13 (Marks: 1) - Please choose one

The Shirt Company utilizes a push strategy to sell the shirt line. Its basic promotional tool is discount. These discounts offered to middlemen are referred to as which one of the following discounts?

- ▶ Trade
- ▶ Cumulative
- ▶ Non cumulative
- ▶ Cash

Question No: 14 (Marks: 1) - Please choose one

Most, but not all, marketing channels have marketing intermediaries. A marketing intermediary sometimes called a middleman, who perform which of the following function?

- ▶ Always sells products to wholesalers
- ▶ Links producers to the ultimate users of the products
- ▶ Always sells products to retailers
- ▶ Does not take title to products

Question No: 15 (Marks: 1) - Please choose one

Which one of the following takes possession of truckloads of tomatoes, arranges for storage, and transports them to auctions to be sold?

- ▶ Selling agent
- ▶ Commission broker
- ▶ Commission merchant
- ▶ Selling broker

Question No: 16 (Marks: 1) - Please choose one

“Sharing of meaning” reflects which one of the following concepts?

- ▶ Noise
- ▶ Interference
- ▶ Communication
- ▶ Information

Question No: 17 (Marks: 1) - Please choose one

Which of the following advertising is used heavily for creating a primary demand when introducing a new product in the market?

- ▶ Persuasive advertising
- ▶ Informative advertising
- ▶ Comparative advertising
- ▶ Institutional advertising

Question No: 18 (Marks: 1) - Please choose one

Which one of the following authorities might use several tools like news, speeches and special events for the marketing purpose?

- ▶ Advertising agencies
- ▶ Advertising specialists
- ▶ Public relation professionals
- ▶ Computer programmers

Question No: 19 (Marks: 1) - Please choose one

Which one of the following faces three challenges: expanding the total market, protecting market share and expanding market share?

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- ▶ **Market leader**
- ▶ Market challenger
- ▶ Market follower
- ▶ Market niche

Question No: 20 (Marks: 1) - Please choose one

If the competitor's price cut harm the company's sales and profit then what should your company do:

- ▶ **Hold the current price**
- ▶ Increase the price
- ▶ Decrease the price
- ▶ Either increase or decrease the price

Question No: 21 (Marks: 1) - Please choose one

If a retailer from Islamabad orders a quantity of merchandise to be delivered to his store in Lahore and is quoted a price that does not include transport costs, the retailer is paying a price called:

- ▶ FOB destination
- ▶ **FOB price**
- ▶ Geographic price
- ▶ Base-point price

Question No: 22 (Marks: 1) - Please choose one

All of the following are disadvantages of magazine advertising EXCEPT:

- ▶ May be inappropriate mix with magazine content
- ▶ Lesser reach compared with television
- ▶ Static images only
- ▶ **Allows for better targeting of audience**

<http://www.powerhomebiz.com/vol118/admediums.htm>

Question No: 23 (Marks: 1) - Please choose one

Which of the following direct marketing medium leads in terms of expenditures, sales and employment?

- ▶ Direct mail and catalogs
- ▶ **Telephone**
- ▶ Television
- ▶ Advertising

Question No: 24 (Marks: 1) - Please choose one

Which of the following is role of a sales person?

- ▶ Prospecting
- ▶ Identifying customer need & wants
- ▶ closing the sales
- ▶ **All of the given options**

Question No: 25 (Marks: 1) - Please choose one

Which of the following option is correct when a manufacturer can not hold on message that he wants to convey to audience?

- ▶ Personal selling
- ▶ Sales promotion
- ▶ Advertising
- ▶ **Publicity**

Question No: 26 (Marks: 1) - Please choose one

Which of the following is the basic purpose of personal selling?

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- ▶ Indirect written communication between buyers and sellers
- ▶ It is an inexpensive mode to convey message to buyers
- ▶ Not usually combined with other aspects of promotion in the total marketing mix
- ▶ **Gets immediate feedback from consumers**

Question No: 27 (Marks: 1) - Please choose one

The four major promotional tools (advertising, personal selling, sales promotion, and public relations) are known as the:

- ▶ Communication model
- ▶ Advertising campaign
- ▶ **Promotional mix**
- ▶ Marketing mix

Question No: 28 (Marks: 1) - Please choose one

Sales promotion is *best* defined as a(n):

▶ **Activity and/or material used as a direct inducement to resellers, salespersons or consumers**

- ▶ Advertising and publicity campaign
- ▶ Give some incentive to consumer
- ▶ Activity and/or material used in personal selling

Question No: 29 (Marks: 1) - Please choose one

A direct payment of cash and goods given to the retailer agreeing to setup the point of sale display is known as:

- ▶ Event marketing
- ▶ **Trade promotion**
- ▶ Brand reminder
- ▶ Sponsorships

Question No: 30 (Marks: 1) - Please choose one

Where sellers & buyers have to be together is known as:

- ▶ **Personal selling**
- ▶ Non Personal
- ▶ Personification
- ▶ Personalization

Question No: 31 (Marks: 1) - Please choose one

An activity and/or material that offer added value or incentive to resellers, salespersons or consumers is also known as:

- ▶ Advertising
- ▶ Personal selling
- ▶ Publicity
- ▶ **Sales promotion**

Question No: 32 (Marks: 1) - Please choose one

Which of the following is TRUE for direct marketing channel?

- ▶ It consists of wholesaler
- ▶ It consists of wholesaler, agent and retailer
- ▶ It consists of wholesaler and retailer
- ▶ **It consists of no intermediary**

Question No: 33 (Marks: 1) - Please choose one

Which of the following is NOT true for warehousing?

- ▶ **A company can open warehouse any where, no planning is required**
- ▶ Every company must store its goods while they wait to be sold

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► A storage function is needed because production and consumption cycles rarely match ► A company must decide on *how many* and *what types* of warehouses it needs

Question No: 34 (Marks: 1) - Please choose one

Which of the following is one of the challenges faced by market leader?

- Indirect attack
- Dividing the total market
- Increasing sales force
- **Protecting market share**

The first is that of the market leader which faces three challenges: expanding the total market, protecting market share, and expanding market share.

Question No: 35 (Marks: 1) - Please choose one

Which of the following is an administrative trade restriction that imposes a complete ban on imports of a specified product?

- **Import quota**
- Tariff
- Embargo
- Dumping

Question No: 36 (Marks: 1) - Please choose one

Which of the following allowances are payments to wholesalers or retailers to stock unproven new products?

- **Stocking allowance**
- Trade-in allowance
- Push money allowance
- Promotion allowance

Question No: 37 (Marks: 1) - Please choose one

With reference to E-Marketing, which of the following can be used to increase efficiency of marketing?

- Market positioning
- Brand awareness
- **Technology**
- Virtual business

Technology can be used to increase efficiency of marketing and increases company profitability and adds customer value

Question No: 38 (Marks: 1) - Please choose one

Which of the following source of internet can be used to coordinate the consumers and producers?

- Websites
- **Search engines**
- Email
- Chat rooms

Question No: 39 (Marks: 1) - Please choose one

All of the following are the primary criticisms leveled at the marketing function by consumers, consumer advocates and government agencies **EXCEPT:**

- High-pressure selling
- **Cultural pollution**
- Harming consumers through high prices
- Deceptive practices

Question No: 40 (Marks: 1) - Please choose one

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Which one of the following is **NOT** the primary criticism leveled at the marketing function by consumers, consumer advocates, and government agencies?

- ▶ Deceptive practices
- ▶ High-pressure selling
- ▶ Shoddy or unsafe products
- ▶ **Too much political power**

There are six primary criticisms leveled at the marketing function by consumers, consumer advocates, and government agencies.

i. Harming consumers through high prices.

ii. Deceptive practices.

iii. High-pressure selling.

iv. Shoddy or unsafe products.

v. Planned obsolescence.

vi. Poor service to disadvantaged consumers.

Question No: 41 (Marks: 1) - Please choose one

Which of the following principle of enlightened marketing requires that a company seek real product and marketing improvements?

- ▶ **Innovative marketing**
- ▶ Consumer-oriented marketing
- ▶ Societal marketing
- ▶ Value marketing

Question No: 42 (Marks: 1) - Please choose one

To persuade people to purchase non essential goods and services which of the following concepts would prove more fruitful?

- ▶ Production Concept
- ▶ Product Concept
- ▶ **Selling Concept**
- ▶ Marketing Concept

Question No: 43 (Marks: 1) - Please choose one

Identify three considerations companies should balance when setting their marketing strategies.

- ▶ **Company profits, society's interests, and consumer wants**
- ▶ Existing products, customer needs, and market trends
- ▶ Customer wants, integrated marketing techniques, and profit margins
- ▶ Selling concepts, product integrity, and customer base

The societal concept calls upon marketers to balance three considerations in setting their marketing policies:

a). Company profits.

b). Customer wants.

c). Society's interests.

Question No: 44 (Marks: 1) - Please choose one

The steps comprising the marketing control process in ascending order are:

- ▶ Measure performance – evaluate performance – corrective action – set goals
- ▶ Corrective action – set goals - measure performance – evaluate performance
- ▶ **Set goals -Measure performance – evaluate performance - corrective action**
- ▶ Set goals - Measure performance – corrective action – evaluate performance

Question No: 45 (Marks: 1) - Please choose one

Each culture contains smaller subcultures, which can be defined as:

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- ▶ Personality characteristics of a consumer
- ▶ The motives that people have for their behavior
- ▶ **Shared value systems based on common life experiences**
- ▶ Geographic regions and income levels

Each culture contains smaller subcultures or groups of people with shared value systems based on common life experiences and situations.

Question No: 46 (Marks: 1) - Please choose one

Mr. X is interested in buying a carpet. Although the carpet is costly but there is very little perceived difference between the brands. This is an example of:

- ▶ Complex Buying Behavior
- ▶ Variety Seeking Buying Behavior
- ▶ **Dissonance Reducing Buying Behavior**
- ▶ Habitual Buying Behavior

Dissonance reducing buying behavior occurs when consumers are highly involved with an expensive, infrequent, or risky purchase, but see little difference among brands.

Question No: 47 (Marks: 1) - Please choose one

All of the following are characteristics of business markets EXCEPT:

- ▶ Derived demand
- ▶ Inelastic demand
- ▶ Fluctuating demand
- ▶ **Elastic demand**

Question No: 48 (Marks: 1) - Please choose one

Of the following, the most complex type of business buying situation is the:

- ▶ **Modified rebuy**
- ▶ System selling
- ▶ Straight rebuy
- ▶ New task